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ECONOMIC SURVEYS BY THE OECD

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DENMARK

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JANUARY 1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

DENMARK

BASIC STATISTICS

THE LAND

Area (thousand sq.km.)	43
Agricultural area (thousand sq.km.)	31
Urban population (July 1962):	
Copenhagen	930,900
Other cities	1,248,400

THE PEOPLE

Population (1961)	4,600,800
No. of inhabitants per sq.km.	107
Net natural increase (average 1958-60)	32,000
Net per 1,000 inhat. (average 1958-60)	7.1
Labour force, total (1960)	2,270,000
Of which in agriculture	400,000

PRODUCTION

Gross national product in 1961 (millions of kroner)	45,100
G.N.P. per head (U.S. dollars)	1,400
Gross fixed capital formation in 1961:	
— Per cent of G.N.P.	20
— Per head (U.S. dollars)	290

THE GOVERNMENT

Public consumption in 1961 (per cent of G.N.P.)	13
General government current revenue in 1960 (per cent of G.N.P.)	25
Public gross fixed capital formation in 1961 (per cent of G.N.P.)	2
Composition of Parliament (No. of seats):	
— Social Democrats	76
— Social Liberals	11
— Liberals	38
— Conservatives	32
— The Independent Party	6
— Left Wing Socialists	11
— Others	1
	175

Last general election: 1960.

LIVING STANDARDS

Calories per head, per day (1958-59)	3,350
Average hourly eranings of workers in manufacturing and construction in 1961 (in kroner)	6.69
Number of passenger cars in use per 1,000 inh. (December 1961)	102
Number of telephones per 1,000 inh. (1959)	224
Number of radio sets per 1,000 inh. (1959)	327

FOREIGN TRADE

Exports:	
Exports of goods and services in per cent of G.N.P. (1961)	31
Main exports in 1961 (percentage of total merchandise exports):	
— Agricultural products	43
— Industrial goods	50
— Other goods	7
Imports:	
Imports of goods and services as per cent of G.N.P. (1961)	32
Main imports in 1961 (percentage of total merchandise imports):	
— Machinery	13
— Fuels	12
— Base metals	10
— Transport equipment	11
— Textiles	9

THE CURRENCY

Monetary unit. Krone

Currency units per U.S. dollar: 6.91

ECONOMIC SURVEYS BY THE OECD

DENMARK

1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in January 1963

DENMARK

1. In the post-war period, economic developments in Denmark have followed a pattern somewhat different from the general trend in Europe. In particular, during most of the 1950's, when there was a strong and steady advance in Western Europe, the Danish economy showed an irregular movement, with only a modest increase in production. In the following years, developments were more in line with those of other countries, with strong pressure on resources in 1961 and 1962. Three periods stand out in Denmark:

Slow growth, 1950-1957.
Balanced expansion, 1958-1960.
Inflationary tendencies, 1961-1962.

2. The present report reviews the major determinants of these developments, and considers in particular the role played by economic policy.

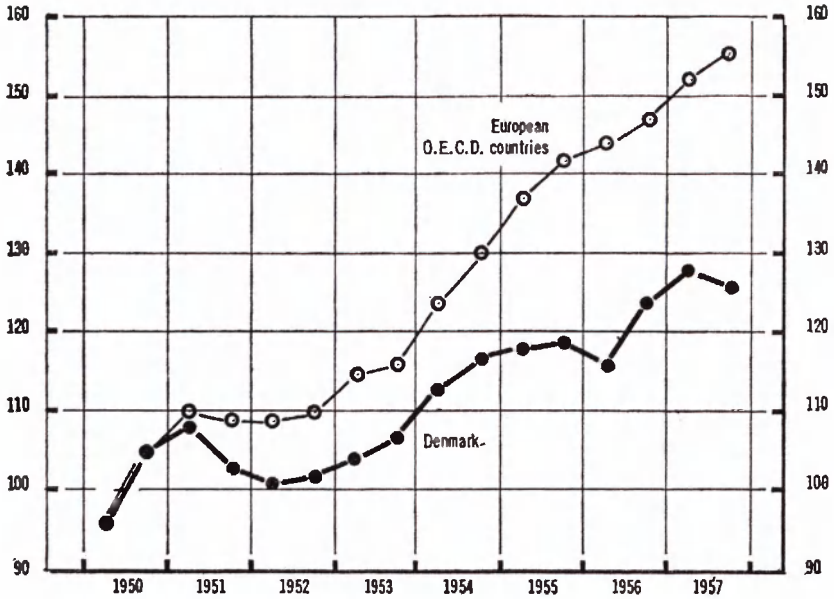
Slow Growth, 1950-1957

3. In this period the real gross national product rose by 2.5 per cent a year, much less than in most other Member countries. The modest advance was due to demand deficiency rather than to limitations on the supply side; unemployment was high throughout, and such indications as exist suggest that productive capacity was not fully utilised.

4. The balance of payments was the main constraint upon the expansion. A rise in domestic activity tended to be accompanied by balance of payments difficulties which required measures to restrict the growth of demand. As a result, the movement of output was irregular, with short-lived periods of expansion being followed by stagnation or decline.

5. The weak external position was largely due to two factors. First, the terms of trade moved strongly against Denmark. In particular, the strong increase in primary product prices during the Korean war, and their high level in subsequent years, sharply reduced the purchasing power of Denmark's foreign exchange earnings; primary products accounted for about two thirds of merchandise imports. Second, with farm products representing more than half of merchandise exports, protective agricultural policies in other countries seriously

Diagram 1. INDUSTRIAL PRODUCTION (1950-1957)
SEASONAL ADJUSTED SEMI-ANNUAL FIGURES : 1950 = 100



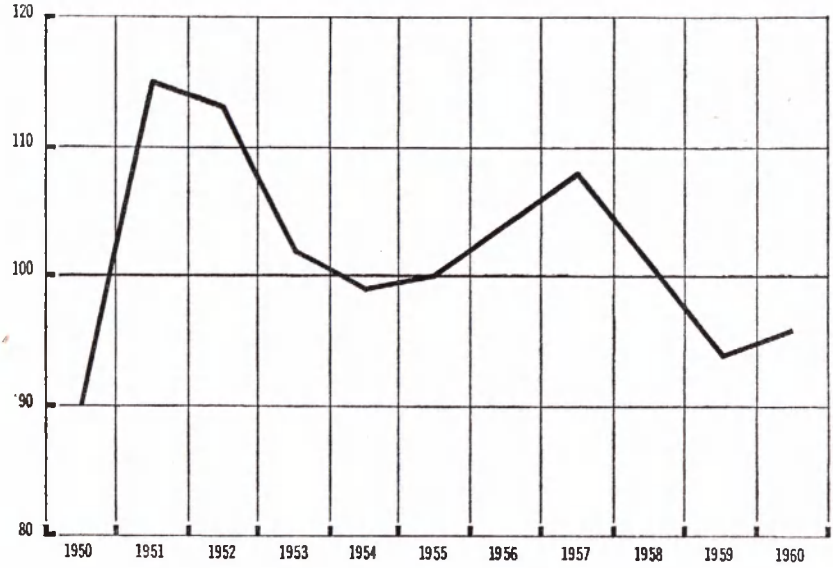
Source: O.E.C.D. General Statistics.

hampered the expansion of Danish sales abroad; industrial exports rose fast, by about 10 per cent a year, but weighed little in total foreign exchange earnings. Moreover, with low foreign exchange reserves, even moderate and temporary setbacks in the balance of payments necessitated measures to curtail the expansion of domestic demand.

6. Although, during this period, the weak balance of payments position was strongly influenced by unfavourable external conditions, and not by adverse developments inside Denmark, the authorities felt it was undesirable to ease the strain by foreign borrowing. Some recourse to foreign borrowing would have increased the scope for an expansion of domestic activity and investment and, thus, speeded the day when Denmark was less dependent on agriculture. But official policy requested that any new borrowing should wait until the arrears of the pre-war dollar debt had been paid, and this did not occur until 1955. Over much of the 1950-1957 period, with a weak external position, Denmark was, thus, a net exporter of long-term capital.

7. In this situation the expansion of home demand had to be kept within the narrow limits set by the balance of payments, with adverse

Diagram 2. IMPORT PRICE INDEX
(1955 = 100)



Source: Denmark's submission to O.E.C.D.

repercussions on economic activity and investment. But considerable efforts were made to stimulate a more rapid growth of industry since it was clear that agriculture — the traditional backbone of the economy — was not able to provide adequate employment openings and foreign exchange earnings; apart from the fact that access to export markets was tightly restricted by agricultural protectionism abroad, the need to reshape the pattern of Danish production reflected the fact that, with the progress of mechanisation, agricultural output was able to expand at the same time as employment was falling.

8. Efforts were therefore made to shape monetary and fiscal policies so as to stimulate investment; a tight fiscal policy was maintained with the object of restricting private consumption and providing higher savings, thus creating scope for higher investment. Steps were also taken to promote industrial research, increase the supply of technicians and skilled labour, and improve the mobility of labour.

9. In the event, industrial investment showed little increase; in real terms it was no higher in 1956 than in 1950. There may be room for argument whether this was due to the fact that it proved difficult to achieve the rates of public savings and monetary ease at which the

authorities aimed, or whether other factors were decisive. But experience from this period suggests that such relaxations of monetary policy as were made from time to time did not lead to any significant increase in industrial investment except in periods when overall demand was allowed to expand and press more strongly on capacity. Developments in certain other countries also suggest that without full utilisation of capacity and an appreciable increase in aggregate demand, high investments have been difficult to achieve. It is therefore doubtful whether a further tightening of fiscal policy combined with easier credit conditions would have led to any very strong increase in industrial investment since, in any case, the expansion of aggregate demand had to be kept within the limits set by the foreign balance.

Balanced Expansion 1958-1960

10. The situation changed markedly in the late 1950's. Over the three years 1958 to 1960, the real gross national product rose by between 5 and 6 per cent a year. Industrial production rose at a rate of nearly 10 per cent. For the first time in the post-war period, full employment was achieved and maintained for a significant period. It is also interesting to note that many of the problems relating to labour mobility and regional and occupational unemployment, which had been difficult to tackle in earlier years, almost disappeared when the economy was expanding fast. Labour market policies still had an important role to play; but the problems became much less pronounced when the economy was growing fast.

11. Investment rose sharply, with industrial fixed asset formation almost doubling, rising from D. kr. 725 million in 1957 to D. kr. 1,350 million in 1960 (at current prices). In spite of this, the balance of payments showed a surplus on current account over the period as a whole, but was in deficit in 1960. Wholesale prices were reasonably stable; retail prices, however, edged up at a rate of 1 to 2 per cent a year.

12. A key element behind these developments was the sharp decline in primary product prices in 1957 and 1958. Moreover, policy in respect of foreign borrowing was changed in 1957, and in the following years fairly large private and public loans were raised abroad to increase the scope for domestic investment. As a result, home demand could be allowed to expand fast without endangering the balance of payments. Both fiscal and monetary policies were eased in the spring of 1958, and lower interest rates, coupled with a relaxation of restrictions on housebuilding, led to a strong increase in building activity.

13. Moreover, a number of more specific measures to stimulate industrial investment had been taken in 1957, including more liberal depreciation allowances and measures to provide manufacturing

TABLE 1. CENTRAL GOVERNMENT ACCOUNTS

D. kr. millions.

FISCAL YEAR BEGINNING APRIL	1957	1958	1959	1960
Current revenue	5,403	5,847	6,656	7,299
Current and investment expenditure	4,836	5,201	5,724	6,178
Surplus on current and investment account	567	646	932	1,121
Surplus in per cent of current revenue	10.5	11.0	14.0	15.5

Source: Government Finances, November 1962.

industries with easier access to capital and promote industrialisation in regions with particularly high unemployment. These measures no doubt facilitated the strong increase in industrial fixed asset formation.

14. Although the strengthening of the foreign balance was considerably influenced by the decline in import prices, it was also aided by the emergence of a large surplus on the government budget, which kept demand from becoming excessive. This surplus was not the result of action to strengthen the budget; there are, in fact, indications that such actions as were taken tended to make the budget more expansive. But with the strong increase in activity, the budget surplus rose sharply. This suggests that the much more moderate surpluses on government account achieved in the 1950-1957 period were due to the low level of activity rather than to any inherent weakness in the budget. With a large budget surplus, bank credit could be allowed to rise fast to facilitate the increase in investment, without any adverse repercussion on the external balance.

TABLE 2. CREDIT EXPANSION AND INVESTMENT

D. kr. millions.

	AVERAGE 1950-1957	1958	1959	1960
Increase in loans from:				
Commercial Banks	340	430	1,525	1,485
Major savings banks	210	420	545	575
Mortgage credit associations	450	1,215	1,295	1,655
Total lending from financial institutions	1,000	2,070	3,465	3,715
Private gross investments [1]	4,300	5,021	7,254	8,598
Lending in per cent of private gross investment	23.7	40.0	47.5	43.5

1. Including government enterprises.
Source: Monetary Review, November 1962 and Denmark's submission to O.E.C.D.

15. The moderate extent of the rise in domestic prices was also helped by the decline in import prices. But this also reflected the fact that the three-years wage contracts concluded in 1958, influenced by the considerable slack then still prevailing in the economy, only provided for a moderate increase in weekly earnings and compensation for shorter hours. Hourly earnings in industry rose much faster than this (by 7 to 8 per cent a year in 1959 and 1960) primarily because of wage-drift. But most of the rise in hourly earnings was absorbed by a strong increase in productivity, notably in manufacturing.

TABLE 3. FIXED ASSET FORMATION

Average annual increase in per cent.[1]

	1950-1957	1958-1960
Manufacturing industry	4.0	20.8
Dwellings	2.0	7.8
Transport and communications	5.1	10.2
Other	3.2	12.6
Total fixed asset formation	3.5	12.7

1. At 1955 prices.
Source: Denmark's submission to the O.E.C.D.

INFLATIONARY TENDENCIES 1961-1962

16. Economic activity continued to expand fast, although with some slackening in the rate as capacity became more fully utilised; the real gross national product rose by 4.5 per cent in 1961, and a similar rate in 1962. But the relative stability of prices and the foreign balance which had marked the previous three years, was broken. From the beginning of 1961 to mid-1962, consumer prices rose by about 10 per cent and a further increase of about 4 per cent took place in the autumn, largely because of the introduction of a purchase tax. The deficit on the current account of the balance of payments rose to more than $100 million in 1961, and to an annual rate of about $240 million in the first half of 1962 (about 3.5 per cent of the gross national product). The net foreign exchange reserves of the National and commercial banks, despite an inflow of foreign capital, fell rapidly to $125 million in September, the equivalent of less than one month's merchandise imports at the current rate.

17. The rise in prices and the deterioration of the balance of payments have not been caused by any adverse changes in external conditions; in particular, import prices have remained relatively stable, and foreign demand for Denmark's exports has continued to expand. The unfavourable development must be ascribed to conditions at home; a sharp increase in money incomes far in excess of the advance in

TABLE 4. BALANCE OF PAYMENTS

Millions of dollars.

	1959	1960	1961	1st HALF	
				1961	1962
Exports (f.o.b.)	1,391	1,488	1,531	725	791
Imports (f.o.b.)	1,502	1,699	1,772	856	966
Trade balance	− 111	− 211	− 241	−131	−175
Net freight earnings	76	77	70	35	35
Other services, net	22	73	63	25	20
Balance on goods and services	− 13	− 61	− 108	− 71	−120
Net public capital movement	− 12	− 2	9	5	29
Net private capital movements	36	27	58	13	37
Errors and omissions	21	11	9	31	24
Change in foreign exchange reserves	58	− 25	− 32	− 22	− 30

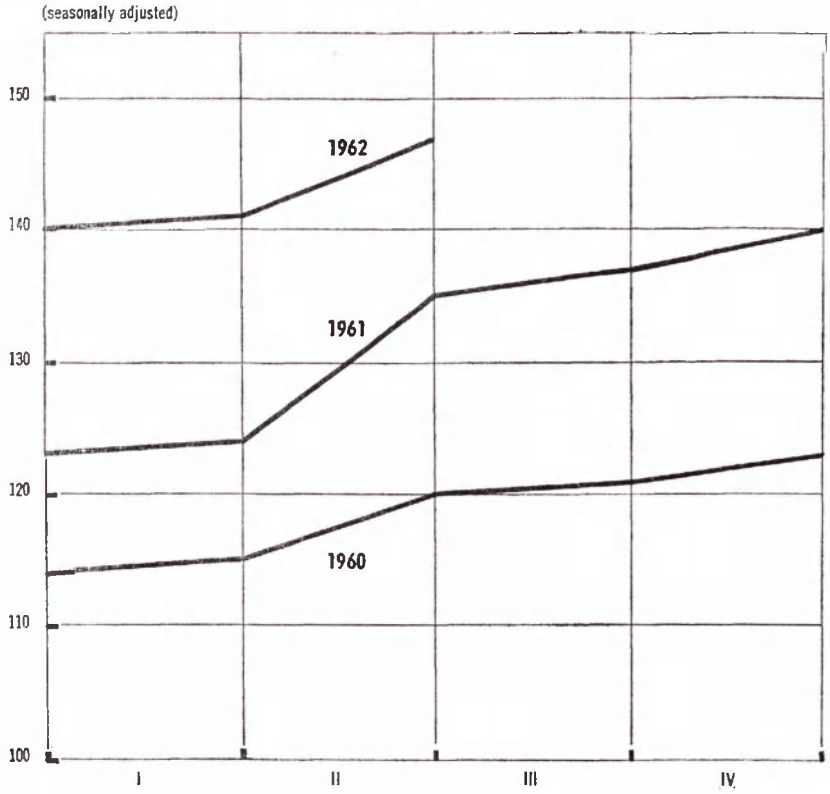
Source: Denmark's submission to the O.E.C.D.

output, and a marked weakening of the government budget constitute the main elements behind the inflationary trend that has developed.

18. In 1961, after widespread strikes, collective negotiation led to a two-years agreement providing for an immediate 8 per cent increase in average industrial earnings; civil servants' salaries, which had remained practically stable during the preceding three years, were raised by 13-14 per cent. In addition, there was again a rather substantial wage drift, and average hourly earnings rose in all by some 12-13 per cent from the previous year. The rise in wages has continued in 1962, largely because of wage-drift and automatic increases resulting from the rise in prices. Over the last two years, up to the second quarter of 1962, industrial hourly earnings rose by 23 per cent, much faster than in most other Member countries. Since the advance in productivity is unlikely to have been much in excess of that achieved elsewhere, the relative cost position of Danish industry has no doubt deteriorated.

19. The tendency for farmers' incomes to lag behind the increase in other incomes became more pronounced when the non-agricultural sector began to expand fast. Increasing wage costs, and the farmers' claims for an equitable rise in their incomes, have led the authorities to introduce a system whereby domestic prices are fixed at a higher level than export prices, and the Government has also granted considerable cash payments; these cash payments currently amount to some D. kr. 400 million a year. As a result, domestic food prices have risen, and the support granted has added a new burden to the Government budget.

Diagram 3. INDUSTRIAL WAGES
INDEX: 1957 = 100



Source. Denmark's submission to O.E.C.D.

20. In 1959 and 1960, the Government succeeded in maintaining a large budget surplus of some D. kr. 1 billion, about 2 per cent of the gross national product, and a cash surplus of D. kr. 300-400 million. But in 1961-62 (1st April to 31st March) the surplus on current and investment account fell sharply, and the cash surplus was replaced by a deficit, which was particularly large in the year ending mid-1962. The shift in the budget position was largely the result of three factors: a reduction of direct tax rates, the increase in civil servants' salaries, and the introduction of agricultural subsidies taking place during the summer.

21. Since credit continued to expand rather fast the strong growth in money incomes and the marked weakening of the budget led to

TABLE 5. THE CHANGE IN GOVERNMENT FINANCES

D. kr. millions.

	JULY 1960 JUNE 1961	JULY 1961 JUNE 1962	CHANGE
Change in net position[1] with the Central Bank	220	− 1,044	− 1,264
Net of domestic lending and borrowing.....	514	508	− 6
Net of other domestic transactions.....	734	− 536	− 1,270

1. Corrected for changes caused by foreign borrowing, repayment of foreign debt and changes in Postal Gire deposits.
Source: Statistiske Efterretninger.

a large increase in home demand for consumption as well as investment, well in excess of the expansion of production. Excess demand conditions continued to prevail in 1962 until restrictive action was taken in the summer, although trends were somewhat obscured in this period because of an acceleration of spending in anticipation of the introduction of the purchase tax.

22. The Government had proposed a combination of restrictive measures in March, with the main emphasis on a stricter fiscal policy and restraint of building activity. But, because of the need to obtain agreement between the four larger political parties, some of the measures were not introduced until August. The most important measures were:

a) A general purchase tax of 9 per cent was enacted with effect as from August 1st, 1962. The tax is levied at the wholesale level. It does not extend to food, fuel and services, but is expected to yield Kr. 800-900 millions a year, representing about 10 per cent of the Government's current and investment expenditures.

b) A ceiling of about Kr. 8,500 million was placed on Government expenditures for the fiscal year 1962-63 (ending March 1963).

c) Starts of private and public building projects were to be reduced.

d) Children's allowances were raised and direct taxes reduced for the lowest paid income groups; national and disablement pensions were increased to offset part of the effects of the purchase tax.

e) Direct tax rates are to be reduced from the summer 1963, with a budgetary cost of about D. kr. 750 million.

Direct and indirect taxes are to be excluded from the wage-regulating index with effect from April 1st 1963.

23. The tightening of fiscal policy is estimated by the authorities to result in a surplus on current and investment account in the current fiscal year of almost D. kr. 1 billion — about the same as in 1960-

1961, when the economy was in reasonable balance. The surplus is expected to rise to an annual rate of D. kr. 1.2-1.3 billion in the second half of the fiscal year.

24. The effect of these measures had not been reflected in statistics on activity and employment available by the end of 1962. And the decline in foreign exchange reserves continued in October and November. But the loss of reserves, together with the tighter budget, led to a significant tightening of monetary conditions in the autumn. To avoid too abrupt a rise in interest rates, and to soften the transition period, the National Bank supported the bond market by open market purchases and increased its lending. It is likely, however, that the measures adopted in the summer will exert a significant break on the expansion of home demand in the next few months.

Short-Term Prospects

25. The Danish Authorities expect that home demand will show little increase in the winter months. With the tightening of the budget, real incomes will decline somewhat, and the volume of private consumption is unlikely to be much higher than last winter. Building starts should decline; but the main effect of this will be to reduce backlogs and construction activity is likely to remain high. With a tightening of monetary conditions and with little increase in consumption, the rise in industrial fixed asset formation is likely to become more moderate. Inventory demand may decline, but merchandise exports are expected to continue to rise, largely as the result of higher sales of industrial products. With little increase in home demand, imports should not rise much. On this basis, the expansion of output is likely to be moderate over the next few months, with a considerable weakening of demand pressures.

26. The balance of payments should improve, largely as the result of a lower trade deficit, and the decline in the foreign exchange reserves is likely to become more moderate or to be reversed.

27. The outlook from the spring of 1963 onwards is more uncertain, particularly because most wage agreements fall due for re-negotiation. But such indications as exist point to a renewed rise of domestic demand, even in the absence of any increase in negotiated wage rates.

28. The budget proposed for 1963-64 entails a relaxation of fiscal policy; expenditures will continue to rise while income tax proceeds will remain unchanged because of the reduction in rates which was agreed in the summer of 1962. Present indications are that the surplus on current and investment account will decline from an annual rate of D. kr. 1,200-1,300 million in the second half of the present fiscal year to about D. kr. 650 million in 1963-1964. The budget contains no provision for agricultural subsidies, because the present agreement expires in 1963; nor does it provide for a possible increase

TABLE 6. GOVERNMENT BUDGET

D. kr. millions.

FISCAL YEAR BEGINNING APRIL	1960	1961	1962[1]	1963[2]
Current revenue	7,299	7,957	9,550	10,339
Current and investment expenditure	6,178	7,670	8,610	9,676
Surplus on current and investment account	1,121	287	940	663
Surplus in per cent of current revenue	15.5	3.5	9.8	6.6

1. Estimate.
2. Government proposal.
Source: Economic Survey of Denmark, November 1962.

in civil servants' salaries. But the Government has stated that any additional expenditure will have to be financed by a reduction of other expenditure or by an increase in current revenue.

29. Wages and salaries are expected to continue to increase in the first half of 1963. The cost of living index will probably release a 3-5 per cent increase in March-April, and some further wage-drift must be expected. Although prices will also rise, the wage and salary earners' real disposable incomes may well increase by 3-4 per cent during the first half of 1963, and in the summer private disposal incomes will be influenced by the reduction in direct tax rates. The re-negotiation of wages next spring may lead to a further rise in wages and salaries.

30. Private consumption is therefore likely to rise again in the spring and summer. Although investment activity may remain high, it is unlikely to rise much; but its course will partly depend on the outcome of the wage negotiations; a sharp increase in negotiated wage rates may well be accompanied by a renewed increase in industrial investment. The Government budget points to an increase in expenditure on goods and services and some further increase in exports is likely, although prospects are more uncertain than previously. Total domestic demand should therefore rise again after the spring, and a substantial increase in negotiated wage rates may well lead to renewed pressure on resources and the foreign balance.

31. Given the close correlation between imports and domestic activity and the slow growth of agricultural exports the scope for an increase of domestic demand in 1963 is unlikely to be much more than 2 per cent if an improvement of the balance of payments is to be achieved and maintained. In these conditions, the room for wage and salary increases, in addition to those resulting from wage-drift and higher prices, is clearly limited. Since physical capacity is likely to rise more than two per cent, unemployment may tend to rise somewhat from the low 1962 level.

32. Moreover, over the last couple of years costs have risen faster in Denmark than in most other Member countries. Wages are likely to rise substantially (7-8 per cent) from the summer of 1962 to the summer of 1963, even in the absence of any increase in negotiated rates. It is therefore clear that the prospective rise in wages also gives ground for concern from the point of the competitive position. Another wage increase, as a result of re-negotiation in 1963, will give fresh impetus to the price-wage spiral, and further impair the international cost position of Danish industry.

33. This suggests that the main problems for economic policy in 1963 are twofold: (1) the expansion of domestic demand must be kept within strict limits so as to enable an improvement of the balance of payments, and (2) an excessive increase in negotiated wages and other incomes must be avoided.

34. There must therefore be some doubt whether the relaxation of budgetary restraints is appropriate. Experience from the 1958-1960 period suggests that in full employment conditions, with a high level of investment, a substantial budget surplus is needed to maintain the foreign balance in reasonable equilibrium. This suggests that the surplus now envisaged for 1963-1964 (D. kr. 650 million) must be maintained, and that action to increase it may be needed if substantial increases in nominal incomes should be negotiated next summer.

35. The problem of avoiding an excessive increase of incomes is difficult. The negotiations of wage rates next spring are especially important in this context both because the majority of the wage-earners are involved, and because the outcome of the wage negotiations will have a strong bearing on the arrangements concerning civil servants' salaries, Government support to farmers and transfers payments to old age pensioners, etc. Furthermore, salaries in the private sector would also be affected. It is, therefore, essential that wage and income settlements should be coordinated.

36. There is a need for better public understanding of the issues involved, and this can be helped forward by the full confrontation of claims and views of all parties concerned. To this end the newly established Economic Council, headed by three economic experts, should be helpful. The new body had its first exchange of views in the beginning of December.

37. Traditionally the authorities do not intervene directly in wage negotiations. But the Government has stressed very heavily that any further increase in money incomes in reducing competitiveness will render it more difficult to re-establish economic equilibrium and hence endanger the maintenance of a high level of employment. Furthermore, the Government has stated, first, that an increase in budget expenditure caused by new income rises should be covered by increased

revenue or budgetary savings; second, that excessive increases in money incomes might necessitate a higher budget surplus than proposed, implying that the gains which income receivers might achieve in the course of the forthcoming negotiations will have to be weighed against the possible loss of part thereof through fiscal action.

Conclusions

38. The main conclusions of this report may be summarised as follows:

i) The slow growth in the 1950-1957 period was mainly the result of balance of payments difficulties caused by unfavourable external conditions, notably the high level of import prices and agricultural protectionism abroad. The expansion of home demand had to be kept within the narrow limits set by the foreign balance, and in these conditions it was difficult to achieve a high rate of investment.

ii) In the 1958-1960 period, in contrast, helped by a sharp decline in import prices, the balance of payments improved markedly and thus increased the scope for the expansion of aggregate demand. And when the economy expanded fast, investment rose sharply. Prices were fairly stable, since the rise in wages was largely offset by a marked increase in productivity. The balance of payments, after its initial improvement, remained in reasonable equilibrium, because the achievement and maintenance of a substantial budget surplus helped to avoid the emergence of excessive demand.

iii) The inflationary tendencies that developed in 1961 and 1962 were closely related to a marked weakening of the Government budget and to excessive increases in money incomes. Prices and wages rose sharply, with a deterioration of the competitive position of Danish industry, and the balance of payments showed a large deficit.

iv) As a result of restrictive measures taken in the summer of 1962, including the introduction of a purchase tax, a large budget surplus has been restored. Demand pressure should weaken considerably in the next few months, with an improvement of the balance of payments.

v) The lower budget surplus in 1963-64 together with some further increase in wages and salaries (wage drift and cost of living adjustments) can be expected to result in an acceleration of demand — notably consumers demand — in the summer. And since most wage contracts as well as the agricultural incomes agreement fall due for re-negotiation in 1963, a further rise in wages and incomes cannot be excluded.

vi) Since the scope for higher demand is limited, and an improvement in the balance of payments is required, economic policy must ensure that adequate monetary and budgetary restraints

are being maintained. Strong efforts must be made to avoid an excessive increase in money incomes, both to maintain a reasonable balance in the economy and to prevent a further deterioration of the competitive position of the Danish industry.

vii) In the long run a satisfactory rate of growth in Denmark is of course heavily dependent upon a continued expansion in other member countries. Even in favourable conditions abroad, however, a satisfactory solution of the immediate problems, in particular the avoidance of a further relative rise in Danish costs, is clearly essential for the longer term developments of the economy; with a further deterioration of the competitive position there is obviously a danger that economic growth will be hampered by balance of payments difficulties as experienced during most of the 1950's.

viii) Provided sufficient stability of incomes is achieved, it may be advisable for Denmark to seek a somewhat higher inflow of foreign capital in order to facilitate the maintenance of a high level of investments and the necessary structural adaptations of the Danish industry and agriculture.

STATISTICAL ANNEX

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TABLE I. NATIONAL PRODUCT AND EXPENDITURE
AT 1955 PRICES

	D. kr. million								*Percentage change annual rate*	
	1950	1955	1956	1957	1958	1959	1960	1961	1950-1957	1958-1960
Private consumption	18,841	20,284	20,679	20,784	21,808	23,025	24,349	25,867	1.4	5.7
Public consumption	2,863	3,732	3,739	3,856	3,881	4,135	4,382	4,654	4.5	4.7
Defense	433	898	859	820	799	810	878	691		
Civil	2,430	2,834	2,880	3,036	3,082	3,325	3,504	3,963		
Gross domestic fixed capital formation	4,060	4,626	4,826	5,150	5,515	6,656	7,345	8,000	4.5	10.3
by: Government	353	605	639	622	687	703	768			
Enterprises	3,707	4,021	4,187	4,528	4,828	5,953	6,577			
Change in stocks	1,215	− 4	452	730	− 207	822	1,400	662		
Exports of goods and services	6,719	9,574	9,815	10,785	11,783	12,544	13,547	14,155	6.9	7.0
Less: Imports of goods and services	7,483	9,365	10,026	10,277	10,906	13,133	14,384	15,036	4.6	10.0
Gross national product at market prices	26,215	28,847	29,485	31,028	31,874	34,049	36,639	38,302	2.4	5.4

Source: Denmark's submission to the O.E.C.D.

TABLE II. GROSS NATIONAL PRODUCT BY INDUSTRIAL ORIGIN AT FACTOR COST

	D. kr. million		*At 1955 prices*				*Percentage change annual rate*	
	1950	1957	1958	1959	1960	1961	1950-1957	1957-1960
Agriculture	4,865	5,684	5,531	5,258	5,654	5,906	2.3	—
Manufacturing [1]	7,195	8,178	8,495	9,439	10,181	10,550	4.5	6.6
Construction	1,834	2,122	2,181	2,430	2,575	2,715	2.1	6.4
Transportation and communication	2,257	3,094	3,174	3,301	3,465	3,594	4.6	3.8
Wholesale and retail trade	3,824	4,441	4,780	5,220	5,775	6,050	2.1	8.0
Government services	2,102	2,760	2,795	2,934	3,075	3,216	3.9	3.8
Other	3,772	4,542	4,586	4,882	5,091	5,261	4.3	3.8
Gross national product at factor cost	25,849	30,821	31,542	33,464	35,816	37,292	2.5	4.9

1. Including handicrafts.
Source: Denmark's submission to O.E.C.D.

TABLE III. EXPORTS BY MAJOR COMMODITIES

	D. kr. million current prices								*Percentage distribution*		
	1950	1957	1958	1959	1960	1961	1st HALF 1961	1st HALF 1962	1950	1957	1961
Agricultural goods	2,846	4,081	4,205	4,590	4,610	4,476	2,185	2,352	63.0	50.2	42.8
Industrial goods	1,332	3,473	3,991	4,355	4,865	5,231	2,464	2,694	29.4	42.6	50.0
Other goods	345	584	562	582	684	751	323	362	7.6	7.2	7.2
Total	4,523	8,138	8,758	9,527	10,159	10,458	4,972	5,408	100.0	100.0	100.0

Source: Economic Survey of Denmark 1958 and 1961, Statistiske Efterretninger.

Table IV. PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

Quarterly figures.

	UNITS	1960				1961				1962		
		I	II	III	IV	I	II	III	IV	I	II	III
1. Agricultural production, animal products	1953 = 100	124	130	117	116	120	131	128	121	125	135	122
2. Manpower:												
a) Unemployed, seasonally adjusted	1,000's	16.0	9.9	10.3	10.0	10.9	10.9	8.0	9.2	11.1	7.5	6.2[1]
b) Insured, unemployed more than 6 days	per cent	4.2	0.7	0.6	1.7	2.7	0.9	0.4	1.6	2.6	0.6	..
c) Hours worked per month in manufacturing	1953 = 100	117	120	105	119	119	107	104	119	118	121	104
3. Engineering: total order stock (end of period):												
a) Machine industry	1958 = 100	239	233	242	236	241	232	217	244	244	213	201
b) Electrical industry	—	249	253	246	223	247	306	360	328	343	376	343
c) Ship building	—	668	663	644	629	635	606	584	561	549	534	484
4. Retail trade turnover	1953 = 100	125	138	140	167	135	148	157	186	152	172	..
5. Building and construction :												
a) Buildings started (urban area)	1,000 m	759	1,059	918	1,127	1,344	1,106	1,034	1,065	944	1,601	1,245
b) Dwellings under construction (end of period)	1,000	26.2	27.0	26.9	27.9	30.7	31.9	31.7	30.5	31.0	33.5	33.6

1. July-August.
Source: O.E.C.D., General Statistics, Statistiske Efternetninger.

TABLE V. MONETARY SURVEY

	UNITS	1957	1958	1959	1960	1961	1962 1st QTR	1962 2nd QTR	1962 3rd QTR
CENTRAL BANK:									
1. Foreign assets,[1] net	millions of kroner	175	796	1,301	1,505	1,483	1,402	1,455	1,226
2. Claims on Government, net		2,132	2,153	1,675	1,261	1,578	1,544	1,837	1,840
3. Lending:									
a) to commercial banks		197	317	460	510	616	737	681	624
b) to others		55	44	62	62	50	78	75	75
4. Securities		505	556	464	472	478	403	404	553
5. Notes in circulation		2,432	2,644	2,892	3,005	3,318	3,195	3,376	3,219
6. Deposits from commercial banks		332	820	703	486	578	586	702	733
7. Other deposits		37	44	48	61	69	112	78	39
COMMERCIAL BANKS:									
8. Foreign assets, net		266	456	323	1	166	151	339	312
9. Net position with the Central Bank		135	503	243	24	38	151	21	109
10. Lending		6,944	7,422	8,964	10,412	11,740	12,051	12,456	12,583
11. Securities		1,395	1,902	2,001	1,857	1,933	2,013	2,076	2,135
12. Deposits		7,872	9,233	10,451	11,090	12,260	12,341	12,940	13,036
13. Government bond yield	per cent	7.10	6.09	5.58	5.99	6.47	7.04	6.91	7.00
14. Discount rate	per cent	5.5	4.5	5.0	5.5	6.5	6.5	6.5	6.5

1. Including gold.
Source: Monetary Review, November 1962.

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